

Papa John's International (NASDAQ: PZZA)

The Deal That Died — a post-mortem on Apollo's \$64 bid, and what the equity is worth without it

Date: 7 August 2026 · **Price:** \$27.47 · **Market cap:** \$0.9bn · **EV:** \$1.65bn · **EV/FY26E EBITDA:** 8.9x **Valuation range:** \$12 – \$24 · **Midpoint:** \$17.93 · **Implied downside to midpoint:** (35)% **View:** Negative. The takeout floor investors have been leaning on since June 2025 does not exist.

Independent analytical exercise. Not investment advice.

1. The situation

In October 2025, Apollo Global Management offered **\$64.00 per share in cash** for Papa John's — a 33% premium to the undisturbed \$48.20, and **13.8x** the EBITDA the company was itself guiding to at the time. Apollo withdrew within weeks. A widely syndicated report that TriArtisan had bid \$65 turned out to be fabricated; the originating article was pulled and Bloomberg reported no talks existed.

Ten months later the business has deteriorated on every axis that matters:

	Q2 FY2025	Q2 FY2026
Total revenue	\$529.2mm	\$482.4mm (-8.8%)
North America comparable sales	+0.9%	(8.3)%
International comparable sales	+3.7%	+1.5%
Adjusted EBITDA	\$52.6mm	\$52.7mm (flat)
System-wide restaurants	5,989	5,978

On 6 August the company cut FY26 adjusted EBITDA guidance to **\$180–190mm** from \$200–210mm, took North America comps guidance to **(6)% to (8)%** from (2)% to (4)%, and **suspended the dividend** to fund its transformation plan. H1 free cash flow was \$9.5mm against \$36.5mm a year earlier. The stock fell 7.7% to \$27.47.

The one genuine bright spot: International delivered its seventh consecutive quarter of positive comps and now runs at roughly 29% of system sales.

2. Where \$1.2 billion of equity value went

The equity value bridge from the bid to today ties exactly:

	\$ per share
Equity value at Apollo's bid	\$64.00
(a) EBITDA guidance cut (\$205mm → \$185mm), held at the bid-date 13.8x	(8.36)
(b) Multiple de-rating (13.8x → 8.9x), applied to today's EBITDA	(27.64)
(c) Increase in net debt	(0.53)
Equity value today	\$27.47

Three quarters of the loss is de-rating, not the earnings cut. This is the whole story. A \$20mm EBITDA miss is worth \$8 a share. What actually happened is that the market withdrew a takeout premium and re-rated Papa John's from

“franchised pizza platform in play” to “structurally challenged QSR with negative comps, no unit growth, a levered balance sheet and no dividend.”

3. What Apollo had to believe

Run the \$64 bid through an ordinary sponsor structure — 5.5x leverage on the \$205mm of EBITDA then being guided to:

- Entry EV **\$2,838mm**; debt raised \$1,128mm; **sponsor equity cheque \$1,805mm — 64% of enterprise value.**
- At 13.8x you cannot lever the asset. The deal is two-thirds equity-funded, so returns have to come almost entirely from EBITDA growth.
- Clearing a 20% IRR over five years, assuming a generous 8.0x exit and \$700mm of net debt at exit, requires **FY2031 EBITDA of \$649mm — a 25.9% CAGR, 2.8x the base case.**
- Alternatively, if EBITDA only reaches the base-case \$230mm, Apollo needed to exit at **22.5x**. No franchised pizza chain has ever traded there.

The \$64 bid was never underwritable as a leveraged buyout. It was a strategic price against a turnaround thesis. When diligence showed North America deteriorating rather than stabilising, there was no financial floor to renegotiate down to — which is why Apollo walked rather than re-cut.

4. What it is worth

Five methodologies, all built off the same operating model (revenue derived from system-wide sales, units and comps — this is a 92% franchised system, so revenue is a capture rate on a sales base the company does not own):

Methodology	Low	High
DCF — exit multiple, WACC 7.8%–9.8%	\$19.43	\$23.09
DCF — exit multiple 6.5x–7.5x at 8.8% WACC	\$19.00	\$23.42
DCF — perpetuity growth	\$17.36	\$21.21
Trading comps — 6.0x–8.0x FY27E EBITDA	\$12.19	\$23.67
LBO — maximum price at a 20%–15% IRR	\$17.72	\$20.38
Concluded range	\$12.19	\$23.67

Base-case DCF is **\$21.20**, with 71% of value in the terminal — appropriate scepticism is warranted. The perpetuity cross-check implies a 6.6x terminal multiple against the 7.0x assumed, so the two methods agree.

The DCF and the LBO converge on the high teens to low twenties **from opposite directions**: the intrinsic value of the cash flows and the most a leveraged buyer could rationally pay land in the same place. That is the strongest signal in the work.

5. Why no sponsor comes back at these levels

Base case: a 30% premium (\$35.71) is a **10.4x** entry against a stock already at 8.9x. Exit at 7.5x in five years and the sponsor earns **(0.9)%** — they lose money. Even holding the multiple flat at 10.4x entry-to-exit, the IRR is 10.4%.

The maximum a disciplined buyer can pay today for a 20% IRR is **\$17.72**, a 35% *discount* to the market. At 15% it is \$20.38. The blocker is arithmetic, not sentiment: \$1.0bn of debt at a blended ~8.4% consumes \$85mm of an \$190mm EBITDA base, so the asset deleverages from 5.3x only to 3.5x over five years.

6. What would change the view

- **North America comps inflecting to flat or better.** Everything else is second order. Bull case (+3.5% steady-state comps, 13.0% exit margin) is live in the model’s scenario switch.
- **Refranchising the remaining 456 company-owned units**, converting a low-margin operating business into pure royalty income and re-rating the multiple.

- **Separating International.** Seven straight quarters of positive comps, 2,539 units, growing — arguably worth more than the whole company’s current EV on a sum-of-the-parts.
- **A strategic buyer,** who does not need the leverage math to work.

7. Risks to this view

- **Guidance is now reset low.** After two cuts the bar for FY27 is beatable, and the stock is heavily shorted-adjacent with sentiment at a trough.
 - **Terminal value dominance.** 71% of DCF value sits beyond FY2031; small changes in the exit multiple move the answer materially.
 - **Peer multiples are unpopulated.** The comps range in this model is analyst judgement (6.0x–8.0x), not a live median — refresh from a terminal before relying on it.
 - **Deal risk is real in both directions.** Papa John’s has attracted two credible approaches in eighteen months. A strategic bid at any premium breaks the thesis overnight.
 - **The transformation could work.** Papa Rewards engagement, supply chain savings and the new POS rollout are real initiatives, and management has just bought itself flexibility by cutting the dividend.
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Key figures

Shares outstanding (diluted)	33.1mm
Net debt (incl. finance leases)	\$736.8mm
Net debt / FY26E EBITDA	4.0x
FY26E EBITDA / net interest	4.9x
Total stockholders’ deficit	\$(442.3)mm
Restaurants (system-wide)	5,978 in 51 countries
WACC used	8.82%
Base-case FY2031E EBITDA	\$230mm

Sources

- Papa John’s Q2 FY2026 earnings release and Form 10-Q, 6 August 2026
- Papa John’s Q4 and full-year 2025 earnings release, 26 February 2026
- Papa John’s Form 10-Q for the quarter ended 29 March 2026 (SEC EDGAR)
- Semafor (11 June 2025), Reuters and Seeking Alpha coverage of the Apollo bid and withdrawal
- Hunterbrook, “\$PZZA Gate” (November 2025), on the fabricated TriArtisan report

All figures are from the accompanying model, `PZZA_take_private_model.xlsx`. Peer trading multiples are unpopulated input cells pending a live data terminal and are labelled as such in-sheet.